The Northern Cod Fishery: A Short Background

A fishery centuries in the making

For roughly five hundred years, the cod stocks off the coast of Newfoundland and Labrador were among the richest in the world. European vessels crossed the Atlantic to fish these waters as early as the sixteenth century, and for generations the fishery was the economic and cultural foundation of hundreds of coastal communities, or "outports." Salt cod from these grounds was traded across the Atlantic world. The resource seemed inexhaustible — a belief that shaped how it was managed, or left unmanaged, for most of its history.

The industrial surge and the peak

The character of the fishery changed sharply in the decades after the Second World War. Large, factory-equipped offshore trawlers from many nations began fishing the Grand Banks intensively through the 1950s and 1960s. Catches climbed steeply and reached their all-time high at the end of the 1960s, with reported landings far above anything the inshore fishery had ever taken. This peak was not a sign of health; it was the sound of the stock being drawn down faster than it could reproduce.

When Canada extended its jurisdiction to a two-hundred-mile limit in 1977, much of the foreign fleet was pushed out, and there was optimism that the stock would recover under domestic management. Landings did partially rebound in the early 1980s. But catch quotas through this period were set too high, resting on scientific estimates that turned out to be far too optimistic about how many fish remained.

The collapse and the closure

By the end of the 1980s the warning signs were impossible to ignore: the fish were fewer, smaller, and harder to find, and the inshore fishery was failing even as the official stock estimates lagged behind reality. The population had fallen to a tiny fraction of its historical size — a collapse driven by sustained overfishing and worsened by environmental conditions.

In the summer of 1992 the Government of Canada took an unprecedented step and closed the fishery outright, halting commercial cod fishing in the region. The closure put tens of thousands of people — fishers, plant workers, and the communities built around them — out of work almost overnight. It was the largest industrial layoff in Canadian history, and what was expected to be a temporary two-year suspension stretched on for far longer. The stock did not bounce back as hoped; the ecosystem had shifted.

The long aftermath

In the decades since the shutdown, only a small, tightly controlled fishery has been permitted, far below the scale of the mid-century industry. The cod have shown signs of slow, partial recovery in recent years, but nothing approaching their former abundance. The episode is now studied worldwide as a textbook case of fisheries mismanagement — a lesson in what happens when a renewable resource is treated as limitless, scientific uncertainty is read optimistically, and the pressure to keep catches high overrides caution.

For the communities of Newfoundland and Labrador, the consequences were not abstract. An entire way of life, rooted in the sea for centuries, was transformed in a single generation.